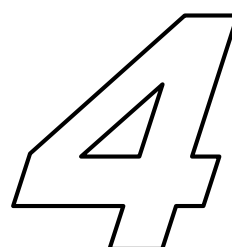


Alumex PLC

Interim Report



Fourth Quarter

Twelve Months Ended 31 st March, 2023

Income Statements

For the period ended 31st March, 2023

Consolidated		Consolidated			Consolidated		
Audited year ended 31.03.22 Rs.'000		Unaudited 12 months to 31.03.23 Rs.'000	Audited 12 months to 31.03.22 Rs.'000	Change %	Unaudited 3 months to 31.03.23 Rs.'000	Unaudited 3 months to 31.03.22 Rs.'000	Change %
9,595,282	Revenue	10,214,848	9,595,282	6	2,609,291	3,256,696	(20)
(7,316,667)	Cost of sales	(8,165,158)	(7,316,667)	12	(1,781,582)	(2,449,367)	(27)
2,278,615	Gross profit	2,049,690	2,278,615	(10)	827,709	807,329	3
53,141	Other income	84,286	53,141	59	17,510	32,852	(47)
(267,516)	Distribution expenses	(321,925)	(267,516)	20	(87,550)	(99,032)	(12)
(576,512)	Administrative expenses	(589,573)	(576,512)	2	(184,397)	(162,933)	13
1,487,728	Results from operating activities	1,222,479	1,487,728	(18)	573,272	578,216	(1)
452,482	Finance Income	724,256	452,482	60	708,660	213,718	>100
(558,455)	Finance Costs	(1,793,194)	(558,455)	>100	(1,074,355)	(162,839)	>100
(105,973)	Net finance costs	(1,068,938)	(105,973)	>100	(365,696)	50,880	>100
1,381,755	Profit before tax	153,541	1,381,755	(89)	207,576	629,096	(67)
(229,849)	Tax (expense)/Reversal	(163,750)	(229,849)	(29)	(73,360)	(98,588)	(26)
1,151,906	Profit for the period	(10,209)	1,151,906	>100	134,216	530,507	(75)
1,151,906	Attributable to: Owners of the Company	(10,209)	1,151,906	>100	134,216	530,507	(75)
1.92	Earnings per share Basic earnings per share (Rs.)	(0.02)	1.92		0.22	0.89	

Statements of Comprehensive Income

Consolidated		Consolidated			Consolidated		
Audited year ended 31.03.22 Rs.'000		Unaudited 12 months to 31.03.23 Rs.'000	Audited 12 months to 31.03.22 Rs.'000	Change %	Unaudited 3 months to 31.03.23 Rs.'000	Unaudited 3 months to 31.03.22 Rs.'000	Change %
1,151,906	Profit for the Period	(10,209)	1,151,906	>100	134,216	530,507	(75)
	Other Comprehensive income						
(12,394)	Actuarial gains / (losses) on defined benefit plans	(8,932)	(12,394)		(8,932)	(12,394)	
2,200	Income tax effect on actuarial gains / (losses)	2,680	2,200		2,680	2,200	
152,952	Revaluation of land	-	152,952		-	152,952	
(27,149)	Income tax effect on revaluation surplus	(44,183)	(27,149)		(44,183)	(27,149)	
115,609	Other comprehensive income for the period, net	(50,435)	115,609		(50,435)	115,609	
1,267,515	Total comprehensive income for the period, net	(60,645)	1,267,515	>100	83,781	646,116	(87)
1,267,515	Attributable to Owners of the parent	(60,645)	1,267,515		83,781	646,116	

Income Statements

For the period ended 31st March, 2023

Company	Company			Company		
Audited year ended 31.03.22 Rs.'000	Unaudited 12 months to 31.03.23 Rs.'000	Audited 12 months to 31.03.22 Rs.'000	Change %	Unaudited 3 months to 31.03.23 Rs.'000	Unaudited 3 months to 31.03.22 Rs.'000	Change %
9,042,944 Revenue	10,214,848	9,042,944	13	2,609,291	3,114,167	(16)
(7,027,596) Cost of sales	(8,165,158)	(7,027,596)	16	(1,781,582)	(2,433,351)	(27)
2,015,348 Gross profit	2,049,690	2,015,348	2	827,709	680,816	22
51,973 Other income	84,286	51,973	62	17,510	32,091	(45)
(261,289) Distribution expenses	(321,925)	(261,289)	23	(87,550)	(101,685)	(14)
(554,063) Administrative expenses	(589,573)	(554,063)	6	(184,397)	(153,813)	20
1,251,969 Results from operating activities	1,222,479	1,251,969	(2)	573,272	457,408	25
440,172 Finance Income	724,256	440,172	65	708,660	225,854	>100
(535,723) Finance Costs	(1,793,194)	(535,723)	>100	(1,074,355)	(169,587)	>100
(95,551) Net finance costs	(1,068,938)	(95,551)	>100	(365,696)	56,267	>100
1,156,418 Profit before tax	153,541	1,156,418	(87)	207,576	513,674	(60)
(189,670) Tax (expense)/Reversal	(163,750)	(189,670)	(14)	(73,360)	(75,759)	(3)
966,748 Profit for the period	(10,209)	966,748	>100	134,216	437,916	(69)
Attributable to: Owners of the Company	(10,209)	966,748	>100	134,216	437,916	(69)
Earnings per share						
1.62 Basic earnings per share (Rs.)	(0.02)	1.62		0.22	0.73	

Statements of Comprehensive Income

Company	Company			Company		
Audited year ended 31.03.22 Rs.'000	Unaudited 12 months to 31.03.23 Rs.'000	Audited 12 months to 31.03.22 Rs.'000	Change %	Unaudited 3 months to 31.03.23 Rs.'000	Unaudited 3 months to 31.03.22 Rs.'000	Change %
966,748 Profit for the Period	(10,209)	966,748	>100	134,216	437,916	(69)
Other Comprehensive income						
(7,870) Actuarial gains / (losses) on defined benefit plans	(8,932)	(7,870)		(8,932)	(7,870)	
1,397 Income tax effect on actuarial gains / (losses)	2,680	1,397		2,680	1,397	
139,952 Revaluation of land	-	139,952		-	139,952	
(24,841) Income tax effect on revaluation surplus	(44,183)	(24,841)		(44,183)	(24,841)	
108,638 Other comprehensive income for the period, net	(50,435)	108,638		(50,435)	108,638	
1,075,386 Total comprehensive income for the period, net	(60,645)	1,075,386	>100	83,781	546,554	(85)
Attributable to Owners of the parent	(60,645)	1,075,386		83,781	546,554	

Statements of Financial Position

<u>Consolidated</u>	<u>Company</u>		<u>Company</u>	<u>Consolidated</u>
Audited	Audited		Unaudited	Audited
as at	as at		as at	as at
31.03.22	31.03.22		31.03.23	31.03.22
Rs.'000	Rs.'000	Notes	Rs.'000	Rs.'000
ASSETS				
Non - current assets				
4,390,421	4,166,241	Property, plant & equipment	4,650,638	4,166,241
272,775	272,775	Right of use asset/Lease Asset	266,294	272,775
88,868	88,868	Intangible assets	85,658	88,868
-	30,000	Investments in subsidiaries	-	30,000
4,752,064	4,557,884	Total non-current assets	5,002,590	4,752,064
Current assets				
3,602,127	3,247,592	Inventories	3,656,606	3,247,592
1,586,449	1,347,316	Trade and other receivables	1,177,609	1,347,316
1,262,417	1,240,377	Advances and prepayments	508,049	1,240,377
-	-	Income tax recoverable	16,486	-
866,243	843,214	Cash & cash equivalents	156,688	843,214
7,317,236	6,678,499	Total current assets	5,515,437	6,678,499
12,069,300	11,236,383	Total assets	10,518,027	12,069,300
EQUITY AND LIABILITIES				
283,735	283,735	Stated capital	283,735	283,735
228,056	228,056	Capital reserves	228,056	228,056
755,057	711,715	Other components of equity	705,588	711,715
2,552,045	1,669,254	Revenue reserves	2,391,213	1,669,254
3,818,893	2,892,759	Total equity attributable to owners of the parent	3,608,598	2,892,759
-	-	Non- controlling interest	-	-
3,818,893	2,892,759	Total Equity	3,608,598	2,892,759
Non - current liabilities				
1,128,989	1,128,989	Interest bearing borrowings	656,122	1,128,989
286,046	286,046	Non Current Portion of Lease Liabilities	279,573	286,046
166,265	148,940	Employee benefit obligations	206,975	148,940
238,321	245,033	Deferred tax liability	444,218	245,033
1,819,621	1,809,007	Total non-current liabilities	1,586,889	1,819,621
Current liabilities				
2,614,366	2,951,594	Trade and other payables	1,693,478	2,951,594
651,392	651,392	Current portion of long term interest bearing borrowings	573,067	651,392
17,301	17,301	Current Portion of Lease Liability	15,945	17,301
2,839,651	2,642,751	Short-term interest bearing borrowings	3,017,627	2,642,751
19,687	17,093	Provisions	22,424	17,093
288,388	254,485	Income tax payable	-	254,485
6,430,786	6,534,616	Total current liabilities	5,322,541	6,534,616
8,250,407	8,343,625	Total liabilities	6,909,429	8,343,624
12,069,300	11,236,383	Total equity and liabilities	10,518,027	12,069,300

The Financial Position as at 31st March, 2023 and Income Statements ,Statements of Comprehensive Income, Changes in Equity and Cash Flow for the twelve months then ended are drawn up from the unaudited financial statements of the Company, its Subsidiaries and they provide the information required by the Colombo Stock Exchange.

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act no 7 of 2007 .

*Alco Industries (Private) Limited a wholly owned subsidiary of Alumex PLC was amalgamated with Alumex PLC with effect from effect from 23rd August 2022 in terms of Section 242 of the Companies Act No 7 of 2007 and continue as Alumex PLC, hence no Consolidated Statements of Financial Position was presented as at 31st March 2023.

Sgd

R P P K Rajapaksha
Director / Chief Financial Officer

Signed for and on behalf of the Board

Sgd

A M Pandithage
Chairman
10th May 2023

Sgd

D W P N Dediwela
Managing Director

Statements of Changes in Equity

For the period ended 31st March, 2023

Consolidated

	Attributable to owners of the parent					
	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Shareholders' Funds	Total Equity
	Rs. '000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st at April, 2022 (Adjusted)	283,735	228,056	755,057	2,552,045	3,818,893	3,818,893
Profit for the period	-	-	-	(10,209)	(10,209)	(10,209)
Surcharge tax paid					-	-
Other Comprehensive income						
Actuarial gains / (losses) on defined benefit plans	-	-		(8,932)	(8,932)	(8,932)
Income tax effect on actuarial gains / (losses)	-	-	-	2,680	2,680	2,680
Revaluation of land	-	-			-	-
Income tax effect on Revaluation surplus	-	-	(44,183)	-	(44,183)	(44,183)
Total other comprehensive income	-	-	(44,183)	(6,252)	(50,435)	(50,435)
Total Comprehensive income for the period	-	-	(44,183)	(16,462)	(60,645)	(60,645)
Transactions with owners, recorded directly in equity						
Dividends to equity holders	-	-	-	(149,651)	(149,651)	(149,651)
Transfers	-	-	(5,285)	5,285	-	-
Total contributions by and distributions to owners	-	-	(5,285)	(144,366)	(149,651)	(149,650)
Balance as at 31st March 2023 (Adjusted)	283,735	228,056	705,588	2,391,213	3,608,598	3,608,598

* Alco Industries (Private) Limited ("Alco") a wholly owned subsidiary of Alumex PLC was amalgamated with Alumex PLC with effect from effect from 23rd August 2022 in terms of Section 242 of the Companies Act No 7 of 2007 and continue as Alumex PLC, hence as at 31st March 2023, the Statements of Changes in Equity of Consolidated and Company are equal.

Balance as at 1st at April, 2021	283,735	228,056	634,539	1,827,320	2,973,650	2,973,650
Charge relating to Surcharge Tax	-	-	-	(63,108)	(63,108)	(63,108)
Balance as at 1st at April, 2021 (Adjusted)	283,735	228,056	634,539	1,764,212	2,910,542	2,910,542
					-	-
Profit for the period	-	-	-	1,151,906	1,151,906	1,151,906
Other Comprehensive income						
Actuarial gains / (losses) on defined benefit plans	-	-	-	(12,394)	(12,394)	(12,394)
Income tax effect on actuarial gains / (losses)	-	-	-	2,200	2,200	2,200
Revaluation of land	-	-	152,952	-	152,952	152,952
Income tax effect on Revaluation surplus	-	-	(27,149)		(27,149)	(27,149)
Depreciation Transfer for Building					-	-
Total other comprehensive income	-	-	125,803	(10,194)	115,609	115,609
Total Comprehensive income for the period	-	-	125,803	1,141,712	1,267,515	1,267,514
					-	-
Transactions with owners, recorded directly in equity						
Dividends to equity holders	-	-	-	(359,163)	(359,163)	(359,163)
Transfers			(5,285)	5,285	-	-
Total contributions by and distributions to owners	-	-	(5,285)	(353,878)	(359,163)	(359,163)
Balance as at 31st March 2022 (Adjusted)	283,735	228,056	755,057	2,552,045	3,818,893	3,818,893

Statements of Changes in Equity

For the period ended 31st March, 2023

Company	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Total
	Rs. '000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st at April, 2022 (Adjusted)	283,735	228,056	711,715	1,669,254	2,892,761
Profit for the period	-	-	-	(10,209)	(10,209)
Other Comprehensive income					-
Actuarial gains / (losses) on defined benefit plans	-	-	-	(8,932)	(8,932)
Income tax effect on actuarial gains / (losses)		-		2,680	2,680
Revaluation of land	-	-			-
Income tax effect on Revaluation surplus	-	-	(44,183)	-	(44,183)
Total other comprehensive income	-	-	(44,183)	(6,252)	(50,435)
Total Comprehensive income for the period	-	-	(44,183)	(16,462)	(60,645)
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	(149,651)	(149,651)
Amalgamation Reserve -Alco Industries (Pvt) Ltd			43,341	882,786	926,127
Transfers	-	-	(5,285)	5,285	-
Total contributions by and distributions to owners	-	-	38,056	738,420	776,476
Balance as at 31st March 2023	283,735	228,056	705,588	2,391,212	3,608,592
Balance as at 1st at April, 2021	283,735	228,056	601,889	1,125,965	2,239,645
Charge relating to Surcharge Tax	-	-	-	(63,108)	(63,108)
Balance as at 1st at April, 2021 (Adjusted)	283,735	228,056	601,889	1,062,857	2,176,537
Profit for the period	-	-	-	966,748	966,748
Other Comprehensive income					-
Actuarial gains / (losses) on defined benefit plans	-	-	-	(7,870)	(7,870)
Income tax effect on actuarial gains / (losses)		-	-	1,397	1,397
Revaluation of land	-	-	139,952	-	139,952
Income tax effect on Revaluation surplus	-	-	(24,841)	-	(24,841)
Total other comprehensive income	-	-	115,111	(6,473)	108,638
Total Comprehensive income for the period	-	-	115,111	960,275	1,075,386
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	(359,164)	(359,164)
Transfers	-	-	(5,285)	5,285	-
Total contributions by and distributions to owners	-	-	(5,285)	(353,879)	(359,164)
Balance as at 31st March 2022 (Adjusted)	283,735	228,056	711,715	1,669,254	2,892,759

Cash Flow Statements

For the period ended 31st March, 2023

Consolidated Company		Consolidated Company		Consolidated Company		Consolidated Company	
Audited as at 31.03.22 Rs.'000	Audited as at 31.03.22 Rs.'000			Unaudited 12 months to 31.03.23 Rs.'000	Unaudited 12 months to 31.03.22 Rs.'000	Unaudited 12 months to 31.03.23 Rs.'000	Unaudited 12 months to 31.03.22 Rs.'000
		Cash Flows from Operating Activities					
1,381,755	1,156,418	Profit before taxation		153,541	1,381,755	153,541	1,156,418
		Adjustments for,					
267,937	259,866	Interest cost		1,208,112	267,937	1,208,112	259,866
(18,295)	(18,215)	Interest income		(17,667)	(18,295)	(17,667)	(18,215)
24,088	22,287	Provision for gratuity		42,689	24,088	42,689	22,287
-	-	(Profit)/ loss on disposal of property, plant and equipment		-	-	-	-
13,740	12,566	Provision for bad debts		(9,989)	13,740	(9,989)	12,566
16,671	16,671	Provision/(Reversal) for Impairment of Property,Plant & Equipme		(36,975)	16,671	(36,975)	16,671
291,831	276,338	Depreciation and amortisation		355,295	291,831	355,295	276,338
1,977,727	1,725,931	Operating profit before working capital changes		1,695,007	1,977,727	1,695,008	1,725,931
(1,703,925)	(1,576,891)	(Increase)/ decrease in inventories		(54,479)	(1,703,925)	(54,479)	(1,576,891)
(435,707)	(353,130)	(Increase)/ decrease in trade and other receivables		1,220,825	(1,673,113)	1,220,825	(1,569,763)
(1,229,336)	(1,208,337)	(Increase)/ decrease in advances and prepayments		15,466	8,070	15,466	8,295
887,612	1,058,220	Increase/ (decrease) in trade and other payables		(876,396)	887,612	(876,396)	1,058,220
(503,629)	(354,207)	Cash generated from operating activities		2,000,423	(503,629)	2,000,423	(354,208)
(234,784)	(226,714)	Interest cost paid		(1,170,751)	(234,784)	(1,170,751)	(226,714)
(89,781)	(52,112)	Income tax paid		(304,126)	(89,781)	(304,126)	(52,112)
(10,550)	(9,857)	Retirement benefit liability paid		(10,907)	(10,550)	(10,907)	(9,857)
(838,744)	(642,890)	Net cash from operating activities		514,639	(838,744)	514,639	(642,891)
		Cash Flows from Investing Activities					
(751,326)	(730,201)	Acquisition of property, plant and equipment		(525,447)	(751,326)	(525,447)	(730,201)
-	-	Proceeds from sale of property, plant and equipment		-	-	-	-
-	-	Net Proceeds from short term investments		-	-	-	-
18,295	18,214	Interest income received		17,667	18,295	17,667	18,215
(733,031)	(711,987)	Net cash flows used in investing activities		(507,780)	(733,031)	(507,780)	(711,986)
		Cash Flows from Financing Activities					
(1,199,295)	(1,199,294)	Repayment of interest bearing loans and borrowings		(551,192)	(1,199,295)	(551,192)	(1,199,294)
(39,904)	(39,904)	Lease Rental Paid		(73,825)	(39,904)	(73,825)	(39,904)
1,420,000	1,420,000	Proceeds from interest bearing loans and borrowings		-	1,420,000	-	1,420,000
(239,443)	(239,443)	Dividend paid		(269,373)	(239,443)	(269,373)	(239,443)
(58,641)	(58,641)	Net cash flows from/ (used in) financing activities		(894,389)	(58,641)	(894,389)	(58,641)
(1,630,417)	(1,413,518)	Net increase/ (decrease) in cash and cash equivalents		(887,531)	(1,630,417)	(887,532)	(1,413,518)
		Cash and cash equivalents from the Alco Industries (Pvt) Ltd as at the beginning of the year		-	-	(173,871)	-
(342,991)	(386,019)	Cash and cash equivalents at the beginning of the year		(1,973,408)	(342,991)	(1,799,538)	(386,020)
<u>(1,973,408)</u>	<u>(1,799,537)</u>	Cash and cash equivalents at end of the period		<u>(2,860,939)</u>	<u>(1,973,408)</u>	<u>(2,860,939)</u>	<u>(1,799,538)</u>
		Analysis of Cash & Cash Equivalents					
866,243	843,214	Cash in Hand and at Bank		156,688	866,243	156,688	843,213
(2,839,651)	(2,642,751)	Short-term interest bearing borrowings		(3,017,627)	(2,839,651)	(3,017,627)	(2,642,751)
<u>(1,973,408)</u>	<u>(1,799,537)</u>	Cash and cash equivalents at end of the period		<u>(2,860,939)</u>	<u>(1,973,408)</u>	<u>(2,860,939)</u>	<u>(1,799,538)</u>

Notes to the Financial Statements

- 1 The Interim Condensed Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard LKAS 34- Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2022.

The accounting policies adopted in the preparation of the Interim Condensed Consolidated Financial Statements are consistent with those followed in the preparation of the Annual Consolidated Financial Statements for the year ended 31st March 2022.

The Interim Condensed Financial Statements also provide information required by the Colombo Stock Exchange.

2 Amalgamation of Alco Industries (Pvt) Ltd

Alco Industries (Private) Limited ("Alco") a wholly owned subsidiary of Alumex PLC was amalgamated with Alumex PLC with effect from effect from 23rd August 2022 in terms of Section 242 of the Companies Act No 7 of 2007 and continue as Alumex PLC, hence no Consolidated Statements of Financial Position was presented as at 31st March 2023.

- 3 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the Financial Statements.
- 4 Basic Earning Per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of shares outstanding during the period

<u>Consolidated</u>		<u>Consolidated</u>	
Audited		Unaudited	Unaudited
as at		as at	as at
31.03.22		31.03.23	31.03.22
Rs.'000		Rs.'000	Rs.'000
1,151,906	Profit for the Period	(10,209)	1,151,906
598,605,680	Weighted Average No. of Shares	598,605,680	598,605,680
1.92	Diluted and Basic Earnings Per Share	(0.02)	1.92

5 STATED CAPITAL

Audited		Unaudited	Unaudited
as at		as at	as at
31.03.22		31.03.23	31.03.22
Rs.'000		Rs.'000	Rs.'000
Issued and fully paid			
283,735	598,605,680 Ordinary Shares	283,735	283,735

- 6 During the period there were no material changes in the composition of assets, liabilities and contingent liabilities and there is no seasonality and cyclicity affecting the interim operation.
- 7 Previous year's figures and phrases have been re-arranged wherever necessary to conform to current year presentation.
- 8 **SURCHARGE TAX**

The Government of Sri Lanka in its Budget for 2022 proposed a one-time tax, referred to as a surcharge tax, is applicable to the Hayleys Group as the collective taxable income of Companies belonging to the Group, calculated in accordance with the provisions of the Inland Revenue Act No. 24 of 2017, exceeds Rs. 2,000 Mn, for the year of assessment 2020/2021. The tax is imposed by the Surcharge Tax Act No. 14 of 2022 which was passed by the Parliament of Sri Lanka on 7th April 2022. The liability is computed at the rate of 25 per cent on the taxable income of the individual Group Companies, net of dividends from subsidiaries

Total Surcharge Tax liability of Rs. 63.1 Mn has been recognised for the Company as an opening adjustment to the 1 April 2021 retained earnings in the Statement of Changes in Equity as per the Statement of Alternative Treatment (SoAT) issued by the Institute of Chartered Accountants of Sri Lanka. According to the said Act, the surcharge tax shall be deemed to be an expenditure in the Financial Statements relating to the year of assessment which commenced on 1 April 2020.

On 20 April 2022, the Company paid Rs. 31.5 Mn on account of the first installment of the Surcharge Tax liability. The final installment of Surcharge Tax has been paid on 20 July 2022.

The impact of the surcharge tax under the Surcharge Tax Act on the comparative year would have been as given below:

	In Rs'000 Group	In Rs'000 Company
Profit after Tax for the year ended 31 March 2021	841,011	816,612
Surcharge Tax charge	(63,108)	(63,108)
Adjusted comparable Profit for the year ended 31 March 2021	777,903	753,504

NOTES TO THE FINANCIAL STATEMENTS

9 IMPACT OF RECENT ECONOMIC CONDITION

The Directors are continuously monitoring the existing and the anticipated effects of the economic crisis, the circumstances of the external environment, as well as the resulting consequences to the company in order to take appropriate measures to manage the impact.

I. Increase in interest rates

LKR and USD interest rates in the domestic market moderated during the quarter ended March 31, 2023 with the policy measures adopted by CBSL. However, the elevated market interest rates, both LKR and USD, results in adverse implications on the interest cost of the Group and the company. The LKR interest rates are expected to decline further in the coming months with the deceleration of inflation in the domestic economy, coupled with resultant improvement of the economic condition of the country with the engagement of the IMF program.

The following measures were taken to reduce the impact of increase in interest rates;

- Minimised borrowings by reducing credit periods offered to the customers whilst encouraging advance payments, thereby improving the liquidity of the company.
- Continuous control and monitoring measures taken to streamline the recoveries from debtors in order to reduce the borrowings
- Strategic initiatives driven by the management to prioritise essential capital expenditure
- Initiatives driven towards converting the LKR borrowings of companies to dollar borrowings (Prudent management of working capital facilities with a proper mix between LKR and USD borrowings to manage cost of borrowing)

II. Fluctuation of foreign currency and significant rupee depreciation

The LKR appreciated during the quarter ended March 31, 2023 from LKR/USD 365 levels to 325 levels due to the prudent policy measures adopted by CBSL, along with the resultant decline in importer demand and improvement of the Balance of Payment of the country. The sudden appreciation of Rupee during March 2023, adversely affected export companies to be competitive in the international market place, given the tax amendments, high cost of operations and inflation. However, we envisage the cost adjustments will ease the immediate challenges in the months to come. Further, Government initiatives to lighten import restrictions and floating of exchange rates might result in some volatilities in the months ahead.

The following measures were taken to reduce the impact of a significant depreciation of the Rupee;

- Implemented prudent strategies to revise price in a timely manner based on market outlook
- Adopting a proper mix of LKR and foreign currency working capital funding while closely monitoring the currency rate movement
- Invoiced in foreign currency wherever possible whilst being compliant to regulations

III. Other Considerations

Despite the current slowdown of the economy, the marketing and business development teams of the group continues to pursue new businesses to diversify the risk arising due to negative externalities, whilst the operational teams focus on improving production efficiencies and reducing costs in order to increase the gross profit margins.

Investor Information

MARKET VALUE OF SHARES

The market value of an ordinary share of Alumex PLC was as follows:

	31.03.2023	31.03.2022
	<u>Rs.</u>	<u>Rs.</u>
Last traded price	8.20	7.70
Highest price recorded for the three months ending	9.10	18.40
Lowest price recorded for the three months ending	6.10	7.00
Market capitalisation (Rs. Mn.)	4,909	4,370

RATIOS

	31.03.2023	31.03.2022
Net assets per share	6.03	6.49
Price earnings ratio (times) (Annualised)	(480.79)	4.00
Return on Equity	-0.27%	34%
Return on Assets	-0.10%	9.54%
Current Ratio	1.05	1.15
Gearing	56%	56%

DIVIDEND PAYMENT

Final Dividend 2021/22 - Rs.0.25 per share paid on 12th July, 2022	149,651,420
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SHARE TRADING FROM 1ST APRIL, 2022 TO 31ST March, 2023

No. of transactions	27,395
No. of shares traded	132,653,928
Value of shares traded (Rs.)	1,114,429,716

Investor Information

FIRST TWENTY SHAREHOLDERS AS AT 31 MARCH 2023

	Name of the Shareholder	No.of Shares as at 31.03.2023	%
1	Hayleys Limited No 1 Share Investment Account	314,826,064	52.59
2	Akbar Brothers Pvt Ltd A/C No.1	80,169,400	13.39
3	Dean Foster (Pvt) Ltd A/C No.1	28,427,800	4.75
4	Mr.D.W.P.N.Dediwela	21,338,400	3.56
5	Sampath Bank PLC/Dr. T. Senthilverl	7,800,000	1.30
6	Union Assurance PLC-Universal Life Fund	5,138,409	0.86
7	Deutsche Bank AG-National Equity Fund	4,108,164	0.69
8	DFCC Bank PLC/J N Lanka Holdings Company (Pvt) Ltd	3,503,881	0.59
9	Seylan Bank PLC/W. D. N. H. Perera	3,424,923	0.57
10	EMFI Capital Limited	3,042,779	0.51
11	Mr. K. D. H. Perera	2,944,907	0.49
12	SSBT-Parametric Tax-Managed Emerging Markets Fund	2,884,726	0.48
13	Bank of Ceylon No. 1 Account	2,254,360	0.38
14	Union Assurance PLC-Traditional Life Participating Fund	2,144,819	0.36
15	Mr. J. W. Nanayakkara /Mrs. H. D. Nanayakkara	2,100,000	0.35
16	Mr. A. M. Weerasinghe	2,000,000	0.33
17	Hatton National Bank PLC/Almas Holdings (Private) Limited	1,775,000	0.30
18	Mr. S. Senthilnathan	1,700,000	0.28
19	Deutsche Bank AG Trustee to Lynear Wealth Dynamic Opportunities Fund	1,618,121	0.27
20	Invenco Capital (Private) Limited	1,613,821	0.27
		492,815,574	82.33
	OTHERS	105,790,106	17.67
	TOTAL	598,605,680	100.00

There were no non voting shares as at 31 March 2023.

PUBLIC HOLDING

Percentage of public holding as at 31.03.2023 25.52%

Total number of shareholders representing the public holding 5,469

Flot-adjusted market capitalization 1,252,666,190

The Company complies with option 1 of the Listing Rules 7.14.1 (i) (b) – Which requires Float Adjusted Market Capitalization of Rs.1 Bn and minimum number of shareholders of 200

DIRECTORS' SHAREHOLDINGS AS AT 31 MARCH 2023

Directors' holdings of ordinary shares in the Company were as follows

Name of Director	No of Shares
Mr.A.M.Pandithage	20,000
Mr.D.W.P.N.Dediwela	21,338,400
Mr.S.C.Ganegoda	443,400
Mr.R.P.Pathirana	487,898
Mr.S.Munaweera	40,000
Mr.R.P.P.K. Rajapaksha	39,814
Total	22,369,512

Corporate Information

NAME OF COMPANY

Alumex PLC
(A limited Liability company, incorporated in Sri Lanka in 2007)

COMPANY NUMBER

PV 539 PQ

STOCK EXCHANGE LISTING

The ordinary shares of the Company are listed with the Colombo Stock Exchange of Sri Lanka on 31 March 2014

REGISTERED OFFICE

Pattiwila Road,
Sapugaskanda, Makola,
Sri Lanka
Telephone: +94 11 240 0332
Facsimile: +94 11 240 0415
Website: www.alumexgroup.com

DIRECTORS

A M Pandithage – Chairman
D W P N Dediwela -Managing Director
S C Ganegoda -Deputy Chairman
R P Pathirana
A A Akbarally
Dr.H.Cabral, PC
S Munaweera
R P P K Rajapaksha
A J Hirdaramani (Alternate Director to R P Pathirana)
T Akbarally (Alternate Director to A A Akbarally)

AUDIT COMMITTEE

S Munaweera - Chairman
Dr.H.Cabral, PC
R P Pathirana

REMUNERATION COMMITTEE

Dr.H.Cabral, PC – Chairman
S Munaweera

AUDITORS

Ernst & Young
Chartered Accountants
No. 201, De Seram Place
Colombo 10, Sri Lanka

INVESTOR RELATIONS

Please contact Corporate Affairs Unit
Telephone: +94 11 262 7610
E-mail: info@cau.hayleys.com

SECRETARIES

Hayleys Group Services (Private) Limited
400, Deans Road, Colombo 10, Sri Lanka
Telephone: +94 11 262 7650
Facsimile: +94 11 262 7655
E-mail: info.sec@hayleys.com

Please direct any queries about the administration of shareholdings to the Company Secretaries

BANKERS

Commercial Bank of Ceylon PLC
Foreign Branch
Commercial House, NO 21, Sir Razik Fareed Mawatha
Colombo 01, Sri Lanka

Sampath Bank PLC
Head Office,
No. 110, Sir James Peiris Mawatha
Colombo 02, Sri Lanka

Bank of Ceylon
Corporate Branch
2nd Floor, Head Office
No. 04, Bank of Ceylon Mawatha
Colombo 01, Sri Lanka

Hatton National Bank PLC
Head office, No. 479, T. B. Jayah Mawatha
Colombo 10, Sri Lanka

Citi Bank N.A. Colombo.
65C, Dharmapala Mawatha,
Colombo 07, Sri Lanka

Standard Chartered Bank
37 York Street
Colombo 1

People's Bank
Head Office, No.75, Sir Chittampalam A Gardiner Mawatha
Colombo 02

Nation Trust Bank PLC
No.256,Srimath Ramanathan Mawatha
Colombo 15